ContexAi GROUP | Economic Vibes — Morning Brief

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Morning Edition · PKT

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| KSE-100 V | S&P 500 V | US 10Y / 2Y V | BRENT / WTI V | GOLD V | USD/PKR V |
|---|---|---|---|---|---|
| 165,417.51 | ▼ 1.11% | 5.19 / 4.82 | $105.43 / $95.17 | $4,120.82 | 276.95 |
| ▲ 0.39% Wed · +641 pts | Nasdaq −1.88% · Dow −0.09% | hot CPI lifts Dec hike odds to ~85% | Hormuz risk premium persists | −1.0% · silver $55.70 (−5.9%) | interbank · +Re0.01, steady |

## 01 Five Things You Need To Know To Start Your Day

**KSE-100 REBOUNDS 641 POINTS AS KP RATIFICATION CLEARS NA AND SENATE**

The **KSE-100** reversed two sessions of selling, climbing **641.07 points (+0.39%) to close at 165,417.51** on Wednesday after swinging between an intraday low of 164,060.34 and a high of 165,629.35. Buying in **ENGROH, LUCK, FFC, BAHL and NBP** added a combined 381 points to the index, while refinery names led by **Pakistan Refinery Limited** drew fresh interest; market-wide turnover held firm at roughly **586 million shares worth Rs 20.1 billion**, with WTL topping the volume chart at 87 million shares. The catalyst: the National Assembly and Senate both ratified the federal emergency proclamation in **Khyber Pakhtunkhwa** on Wednesday — PTI lawmakers staged a walkout in protest — clearing the way for today's 11:30am joint sitting to formally ratify **Governor's Rule under Article 234**, with PPP having ended its boycott to back the resolution. Business Recorder and Daily Times confirm the levels. Sentiment: **relief rally, political resolution in sight**.

**HOT US CPI JOLTS WALL STREET, DECEMBER FED HIKE ODDS SURGE**

US stocks sold off Wednesday after September CPI came in hotter than expected at **3.7% y/y (vs 3.6% forecast)** with core CPI at **2.6% y/y (vs 2.5% forecast)**: the **Nasdaq lost 1.88% to 26,692.87**, the **S&P 500 fell 1.11% to 7,718.94** and the **Dow slipped a milder 0.09% to 51,621.48**. Fed-funds futures and prediction markets repriced sharply, with **December rate-hike odds jumping to roughly 83–89%** from ~72% a day earlier, and traders now debating whether the Fed delivers a double hike or a 50bp move before year-end. TheStreet and CNBC confirm the figures. Sentiment: **risk-off, hawkish repricing**.

**GOLD, SILVER SLAMMED AS INFLATION SURPRISE REVIVES RATE-HIKE BETS**

Precious metals took the CPI shock hardest: COMEX **gold settled at $4,120.82, down about 1.0%**, after briefly trading below $4,100 intraday, while **silver cratered 5.9% to $55.70**, giving back a chunk of its recent run as the firmer dollar and higher yields pulled speculative longs out. The **10-year Treasury yield eased to 5.19%** after an earlier CPI-driven spike, while the **2-year held near 4.82%**. Comex Live and Business Standard confirm the settles. Sentiment: **sharp pullback, dollar/yields the driver**.

**OPEC+ HOLDS NOVEMBER QUOTAS STEADY AS HORMUZ RISK KEEPS OIL ELEVATED**

The seven-nation OPEC+ core group — led by Saudi Arabia and Russia — kept **November output quotas unchanged at a combined 31.01 million bpd**, extending the pause it started in October as conflict-related disruptions through the **Strait of Hormuz** continue to keep actual output below targeted levels; the group reconvenes on 1 November. **Brent held near $105.43 and WTI near $95.17**, keeping the energy-import bill elevated for oil-importing economies including Pakistan. World Oil and Trading Economics confirm the levels. Sentiment: **supply discipline, risk premium intact**.

TADAWUL SLIDES 1.74% IN BROAD GULF RISK-OFF, EVEN AS OIL HOLDS FIRM Saudi Arabia's **Tadawul All-Share Index fell 179.31 points (−1.74%) to close at 10,138.83**, with breadth decisively negative (252 decliners vs just 15 advancers) on turnover of roughly SR3.9 billion (~$1.04bn); the parallel **Nomu index dropped 0.90% to 21,832.37**. The pullback came despite firm oil prices, underscoring that the region's risk-off impulse — tied to the broader Hormuz/security overhang and the global rates repricing — is currently outweighing the energy tailwind. Arab News confirms the close. Sentiment: **broad-based pullback despite firm oil**.

## 02 Regional Market & Economic Matrix

### A. Local Market — Pakistan Focus

Pakistan's tape found its footing: the **KSE-100** rebounded **641.07 points (+0.39%) to 165,417.51** after an early dip to 164,060.34, as buying in **ENGROH, LUCK, FFC, BAHL, NBP** and the refinery counters offset the prior session's losses. The driver was political progress rather than reversal: the National Assembly and Senate both **ratified the KP emergency proclamation on Wednesday** — PTI staged a walkout in protest — clearing the runway for today's **11:30am joint sitting** to formally impose **Governor's Rule under Article 234**, backed by an 11-member advisory council, after PPP ended its legislative boycott to support the resolution. The macro backdrop stayed supportive: the rupee held effectively flat at **276.95 interbank (+Re0.01)**, the **SBP policy rate remains at 11.5%** ahead of its next review on 26 October, September CPI was last confirmed at **10.3% y/y**, and the **$1.2bn IMF tranche** still awaits Executive Board sign-off. Business Recorder and Business Recorder.

### B. GCC & Middle East

Gulf markets moved the other way: Saudi Arabia's **Tadawul All-Share Index fell 1.74% to 10,138.83** on broad-based selling (252 decliners vs 15 advancers, SR3.9bn turnover), with the **Nomu** parallel market off 0.90% to 21,832.37 — a reminder that regional risk appetite remains fragile even as energy prices hold firm. **OPEC+ kept November output quotas unchanged at a combined 31.01 million bpd**, extending its pause as Hormuz-linked disruptions keep actual supply below target, with the group's core seven reconvening 1 November; **Brent held near $105.43 and WTI near $95.17**. The UAE's VAT Executive Regulation amendments (Cabinet Decision No. 149) remain in force, continuing to weigh on SME compliance costs even as the broader non-oil diversification story (Saudi and UAE non-oil PMI both near 55.3 in September) stays intact. Arab News and World Oil.

### C. Global Intelligence

Wall Street absorbed a hawkish inflation surprise: September **CPI printed 3.7% y/y (vs 3.6% expected)** with core at **2.6% y/y**, sending the **Nasdaq down 1.88% to 26,692.87**, the **S&P 500 down 1.11% to 7,718.94** and the **Dow off a milder 0.09% to 51,621.48**. Treasury yields whipsawed before settling — the **10-year eased to 5.19%** and the **2-year held near 4.82%** — while **December Fed hike odds jumped to roughly 83–89%** from ~72% a day earlier, with some desks now debating a 50bp move. The repricing hit precious metals hardest: **gold settled at $4,120.82 (−1.0%)** and **silver slid 5.9% to $55.70**. On the fiscal side, Washington remains funded under the **continuing resolution through 11 December**, pushing the next shutdown risk past the midterms. TheStreet and CNBC.

## 03 Legislative & Regulatory Tracker — Who Wins, Who Loses

| Jurisdiction | Legislation / Policy Change | Affected Sector(s) | Net Impact & Strategic Outlook |
|---|---|---|---|
| **Local — Pakistan** | **NA and Senate ratification of the KP emergency proclamation** on Wednesday clears the way for today's 11:30am joint sitting to formally impose Governor's Rule in Khyber Pakhtunkhwa under Article 234, backed by an 11-member advisory council; PPP ended its boycott to support the resolution while PTI walked out in protest. | Banks, Equities, Political-Risk Premium, Security | **Wins:** the federal government, security apparatus and PPP, which banks political capital for backing the centre; equities, which rallied 0.39% as the path to resolution firmed. **Loses:** PTI, sidelined after its walkout, and KP's provincial autonomy, which remains suspended pending today's formal ratification. |
| **GCC — Saudi Arabia/UAE** | **OPEC+'s decision to hold November output quotas at 31.01 million bpd** continues to anchor Gulf supply discipline, while the UAE's VAT Executive Regulation amendments (Cabinet Decision No. 149) remain in force for compliant corporates and burdened SMEs alike. | Energy, Oil Producers, Banks, Corporates/SMEs | **Wins:** Gulf oil producers and energy majors, which keep benefiting from Brent above $105 and disciplined supply; large UAE corporates already compliant with the VAT apportionment rules. **Loses:** UAE SMEs still absorbing VAT-compliance costs, and broader Gulf risk sentiment, which stayed firmly negative (Tadawul −1.74%, 252 decliners vs 15 advancers) even with oil holding firm. |
| **Global** | A hotter-than-expected September CPI print pushed **December Fed hike odds to roughly 83–89%** from ~72% a week earlier, while the US stays funded under the continuing resolution through 11 December, pushing the next shutdown decision past the midterms. | Rate-Sensitive Equities, Treasuries, Precious Metals | **Wins:** near-term fiscal certainty for the broader government and short-dated Treasuries as the CR holds through mid-December; cash/money-market holders benefiting from a higher-for-longer rate path. **Loses:** rate-sensitive equities (Nasdaq −1.88%) and precious metals (gold −1.0%, silver −5.9%), both hit hard as hike odds repriced sharply higher. |

## 04 The Day Ahead — KSE-100 Levels & Desk Stance

**SUPPORT EST.**
**164,060**
Wednesday's intraday low; deeper support at 163,000 if today's joint sitting disappoints

**PIVOT EST.**
**165,417**
Wednesday's close

**RESISTANCE EST.**
**165,629**
Wednesday's intraday high; then 167,089 if the KP vote clears cleanly today

Wednesday's 641-point rebound shows the market pricing a clean resolution to the KP standoff — NA and Senate ratification plus PPP's about-face removed the two biggest overhangs from Tuesday's session, leaving only today's 11:30am joint sitting as a formality rather than a risk event. The macro base case still argues for a floor: the rupee is flat at 276.95, the **SBP holds at 11.5%** into its 26 October review, September CPI sits at 10.3%, and the **$1.2bn IMF tranche** remains pending but not derailed. The swing factor today is imported, not local: a hot US CPI print has pushed **December Fed hike odds to ~83–89%**, hit gold and silver hard, and left Gulf markets broadly risk-off even with oil firm — none of that is PSX-specific, but a firmer dollar and higher global yields are a headwind for the rupee and import costs over time. **Our stance: lean constructive into today's joint sitting, favour the names that already led Wednesday's rally (banks, fertilisers, refineries) on confirmed follow-through, and treat a clean break above 165,629 as confirmation to look toward 167,089 rather than a reason to chase pre-vote.** All levels are indicative desk estimates, not recommendations.

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